> If you really want to see a crash of historic proportion in stock prices, root for the count that allows wave V to be still in force. On the bigger picture, this is the more bearish interpretation. It eliminates the case that a sideways correction began in 1987, and makes a crash (perhaps as much as 2000 points) probable from whatever high is registered. With valuations squeezed back to historic extremes at such a peak, another crash would not be an unreasonable concern.

If you cannot imagine a crash of even greater percentage, just take a look at Figure 5-1 and realize that relative to the two centuries of uptrend that preceded it, the 1987 decline is almost invisible. Today we face a correction not merely larger, but *three degrees larger* than the one that included the 1987 crash.

A bear market need not *begin* with a crash. Price collapses are assured only in the third wave of a "C" wave, which was exactly the position of the market in October 1987 at Primary degree. Nevertheless, many "A" waves are crashes. Two examples are the declines of 1929 and 1937, which are discussed below.

How the Pattern Will Start

Regardless of which specific long term pattern ultimately unfolds at Grand Supercycle degree, there is no question that the first (or only, under the milder scenario) Supercycle degree decline will be of the *zigzag* family. It will be composed of *three* waves, to be labeled A-B-C or W-X-Y. Every initial decline through Primary degree (the "first" waves), and probably through Cycle degree (wave A), will be composed of *five* waves in order to be compatible with the larger trend. The declines of 1929 and 1937-1938 were "A" waves within Supercycle and Cycle degree bear markets respectively. Figures 5-8 and 5-9 show pictures of what these first declining waves looked like. Expect the first major decline of the coming bear market to reflect the form of these waves.

PRELIMINARY TIME FORECASTING

Time Forecasting for the First Major Low

Regardless of the total duration of past major corrections, in most cases, the deepest selloffs have occurred sooner in the pattern rather than later. In Grand Supercycle wave Two, the initial price